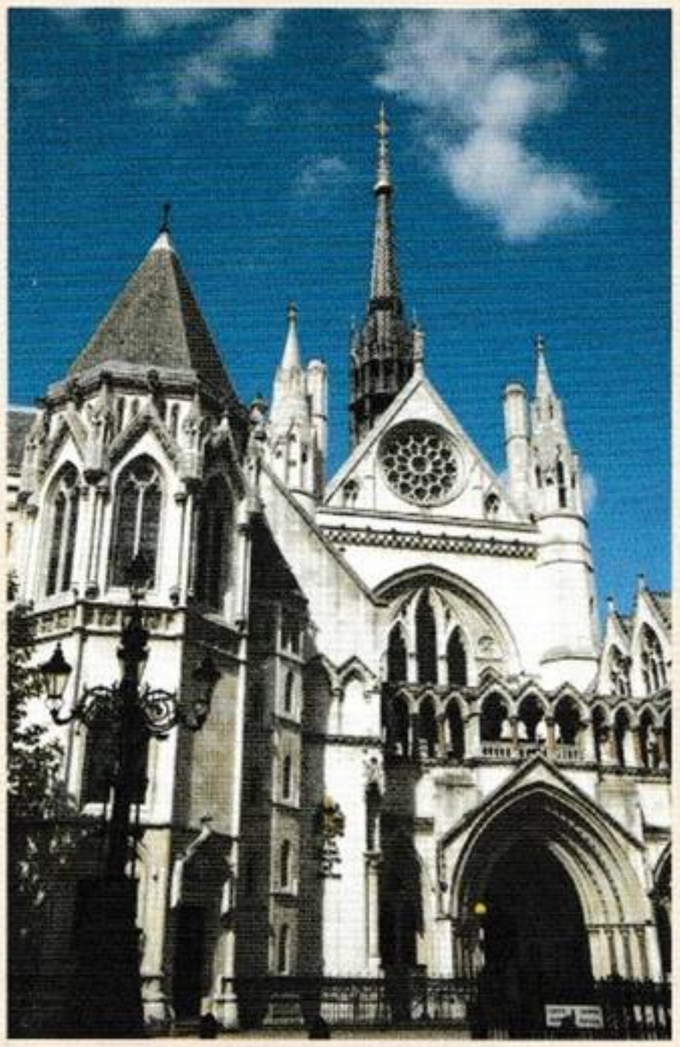
Right and wrong choices in the market for justice



Royal Courts of Justice, London

by John Kay

A Why is the American author Dan Brown in London to defend claims that he has breached the copyright of a New Zealander and a fellow American? Why did Frau Flick, former wife of a German industrialist, ask an English court to determine the terms of her divorce settlement? Why did Roman Polanski, a French citizen, come to the Royal Courts of Justice to seek libel damages from *Vanity Fair*, an American magazine? Each of them thought they would get a better deal in England than at home.

B In a global marketplace, the legal systems of different countries are in competition with each other. The notion of competition in the supply of justice is strange. Yet justice is an elusive concept, and there are many routes to it, all imperfect. Competition in legal services begins when, before they enter into a legal relationship, people and businesses search for the most appropriate legal framework. One element of that framework is the jurisdiction in which any dispute is to be resolved. This is the issue of the choice of laws.

C English law is very widely used in financial services, even for transactions that have no other connection with England. English law gives much more freedom to write whatever contract the parties want than the civil law systems of many other countries. English judges are strict in enforcing the terms of a contract, while courts in America pay more attention to the context of the transaction – the intentions of the parties and the reasonableness of the contract terms.

D This English combination of flexibility before the event and rigidity after it is attractive to many. English judges have also acquired a reputation for giving foreigners a fair chance in court. These competitive attractions of the English legal system have made City law firms large exporters of legal services.

E Competition through choice of laws is almost wholly desirable. The freedom of contract it allows has economic benefits, and competition encourages other countries to make their legal systems business friendly. Emerging states in Eastern Europe have used English law and modelled aspects of their post-communist codes on English principles.

F Choice of laws is made before a dispute arises. Forum shopping is when competition takes place after the dispute has occurred. If choice of laws has many benefits, forum shopping has many disadvantages. Jefferson County, Mississippi, is the world centre of asbestos litigation. Not because that community has been specially damaged by the effects of asbestos, but because its judges and juries are famously sympathetic to plaintiffs. They are encouraged to remain sympathetic by the economic benefits this depressed area derives from supplying motel rooms and pizzas to visiting attorneys.

G A jurisdiction benefits from forum shopping if its decisions are out of line with mainstream opinion, and the most common reason is that there is something wrong with its legal system. The 1980 Rome Convention, which governs contracts within the European Union, strikes a well-crafted balance: it encourages choice of laws, but discourages forum shopping. These principles are under attack from Europe's enthusiasts for harmonisation, from vested legal interests which resent the loss of business overseas and from politicians who would like to interfere in every dispute. In the market for justice, as for every other commodity, it is important to understand both the genius, and the limits, of competitive markets.

FT

UNIT 4

Different countries, different legal systems

This unit looks at how businesses, and individuals, can think about which country's legal system might regulate their activities, or which country might be best for a court hearing.

The legal power or authority of a country is known as its *jurisdiction*.

BEFORE YOU READ

Discuss these questions.

1 When companies enter into international commercial agreements, why is it important to decide on the applicable legal jurisdiction before contracts are signed?

2 When there is a dispute, court cases can sometimes be heard in a country where none of the parties lives or does business. Why should anyone choose to start an action in a country other than their own?

3 Why might developing countries and newly emerging economies want to ensure that their laws and regulations are 'business-friendly' towards foreign companies?

READING

A Understanding the main points

Read the article on the opposite page and answer these questions.

1 Why are legal systems in different countries said to be in competition with each other?

2 What exactly is meant by *choice of laws*? And how does that differ from *forum shopping*?

B Understanding details

Read the article again and answer these questions.

1 The Royal Courts of Justice are in London. Why did the three people mentioned in paragraph A use English law courts?

2 Does the writer feel that competition between legal systems of different countries is a normal business concept?

3 For what kind of business is English law commonly used?

4 How do English courts differ from courts in America in the way they interpret contracts?

5 Why have law firms in the City of London been able to market their services internationally?

6 Why does so much asbestos litigation take place in Jefferson County, Mississippi, USA, and how does this benefit the local community?

7 Does the European Union regard forum shopping in a positive way?

VOCABULARY

A Understanding expressions

Choose the best explanation for each phrase from the article.

1 '... to *defend claims* that ...' (line 2)
   a) argue your position in a legal dispute against you
   b) start a court case against someone

2 '... has *breached the copyright* of ...' (line 3)
   a) used copyrighted material with permission
   b) used copyrighted material without permission

3 '... to *determine the terms* of ...' (line 7)
   a) bring those terms to an end
   b) decide exactly what the terms are

4 '... her *divorce settlement*?' (lines 7–8)
   a) agreement to get divorced
   b) arrangement setting out how money and property should be divided after divorce

5 'Yet justice is *an elusive concept* ...' (lines 19–20)
   a) an idea that is hard to define
   b) all about being fair

6 'One element of that framework is *the jurisdiction in which any dispute is to be resolved*.' (lines 25–28)
   a) the country whose law will apply if there is a dispute
   b) the way in which a dispute should be settled legally

7 '... much *more freedom to write whatever contract the parties want* than ...' (lines 33–35)
   a) fewer restrictions on who can enter into a contract
   b) fewer restrictions on what can be included in a contract

8 '... from *vested legal interests* which resent ...' (line 90)
   a) people or organisations that enjoy a benefit from the existing situation
   b) traditional lawyers who dislike change

B Legal terminology

Match these legal words and phrases (1–8) with their meanings (a–h).

1 copyright	a) legal structure
2 libel damages	b) opposite of *defendant* (also known as *claimant*)
3 to enter into a legal relationship	c) bringing lawsuits
4 legal framework	d) legal ownership of rights in literary, artistic and musical works
5 to enforce the terms of a contract	e) to begin a legal relationship
6 City law firms	f) to make sure the contractual terms are obeyed
7 litigation	g) compensation for an untrue published statement that harms someone's reputation
8 plaintiff	h) in England, large law firms based in London

C Sentence completion

Use the words and phrases from Exercise B in the correct form to complete these sentences.

1 She works in the ..... department, so she spends a lot of time preparing documents and appearing in court.

2 Before a country joins the European Union, it has to consider whether its existing .... matches the requirements of the EU.

3 Some rock stars have been awarded substantial .... after newspapers have published untrue stories about them.

4 The majority of high-level international business deals in the UK are handled by .... rather than smaller firms located outside London.

5 The ..... claimed in court that he had lost a considerable sum of money after being sold defective machinery by the defendant.

6 A recognised way of protecting ..... is by using the © symbol, followed by the year the work is produced and the name of the person producing the work.

7 You need to be fully informed about the financial circumstances of a company before you .... with them.

8 The new supplying company repeatedly failed to meet their delivery obligations, so we had to go to court to ....

D Word families

Complete the chart with words from the article.

verb	noun
.....[1]	defence
.....[2]	determination
to settle	.....[3]
.....[4]	resolution
to transact	.....[5]
.....[6]	enforcement
to litigate	.....[7]
.....[8]	government

OVER TO YOU

1 The article tells us that when resolving disputes, different courts will not necessarily view the law in the same way. But what about completely different legal systems? The common law system (used in the USA and England, for example) is based on decisions made by the courts, whereas civil law (used in Latin America and continental Europe) is based on a written civil code. Discuss some of the key differences between these two systems.

2 The United States courts are famous for awarding enormous sums of money in cases where someone has been harmed by a manufacturer's faulty product, or when instructions for equipment do not include every warning imaginable. Consider the pros and cons of a legal system that allows such high levels of compensation to be awarded. If possible, provide examples of cases where substantial damages have been given by the court.